SBI Securities®

Investment aur Trust, Dono

Rising Stars 2026

FINANCIAL MODEL

PLANT VISIT

IMPORT SUBSITUTION

ORGANISED V/S UNORGANISED

MANAGEMENT MEET

EXPORT OPPORTUNITY

FAST GROWING BUSINESSES

INDUSTRY POTENTIAL

CAPACITY EXPANSION

PEER ANALYSIS

VALUATION MODEL

SBI Securities®
Investment aur Trust, Dono

Long Term Investment Idea (Duration: 12-18 Months)

RISING STAR | RESULT UPDATE - 3QFY26

Retail Research I 3QFY26 I BUY

Hi-Tech Pipes Ltd.

Current Price*	**Rs. 85.4**
Target Price	**Rs. 121.0**
Upside	**41.6%**

*Closing Price as on 09th February, 2026

STOCK DATA

Industry Segment	Iron & Steel Products
BSE Code	543411
NSE Code	HITECH
Bloomberg Code	HITECH IN
52 Week High / Low (Rs.)	131/71
Face Value (Rs.)	1.0
Diluted Number of Shares (cr)	20.3
Market Cap. (Rs cr)	1,734
Avg. Yearly NSE Volume (in lakhs)	16.8

SHAREHOLDING PATTERN (%)

Particulars	Mar-25	Jun-25	Sep-25	Dec-25
Promoters	44.0	44.0	43.6	43.6
FII	9.0	1.7	2.4	1.4
DII	16.4	16.1	14.5	15.9
Public & Others	30.6	38.2	39.5	39.1
Total	**100.0**	**100.0**	**100.0**	**100.0**

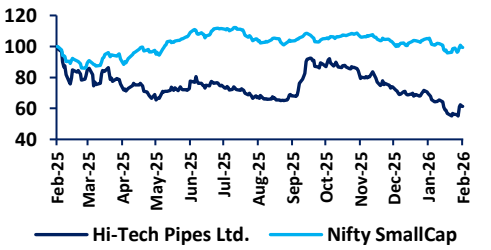
RETURNS STATISTICS (%)

Particulars	1M	3M	6M	12M
Hi-Tech Pipes	(10.9)	(23.6)	(7.7)	(38.7)
Nifty Smallcap	(5.7)	(6.3)	(4.3)	(0.7)

Valuation and Return ratio

Y/E March	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	39.5	23.8	22.1	13.9	10.6
P/BV (x)	3.0	1.4	1.3	1.2	1.1
EV/EBITDA (x)	18.1	10.8	10.7	7.9	5.9
EV/Sales (x)	0.8	0.6	0.5	0.4	0.3
Mcap/Sales(x)	0.6	0.6	0.5	0.4	0.3
RoE (%)	7.6	5.8	5.9	8.6	10.1
RoCE (%)	10.7	9.8	9.3	12.1	13.8

Stock Performance (1-year)



Key Highlights of the 3QFY26 Result

Highest ever quarterly revenue led by record sales volumes

Hi-Tech Pipes Ltd (HITECH). during the quarter reported Revenue/EBITDA growth of 40.5%/4.1% YoY to Rs 1,070 cr/Rs 42 cr respectively despite facing the impact of depressed HRC prices, which have now witnessed a trend reversal post the government's imposition of safeguard duty. PAT declined 9.2% YoY to Rs 17 cr due to a 39.7% YoY rise in finance cost. Sales volume for the quarter increased by ~10% YoY to 1,36,067 tonnes led by healthy demand across construction & infrastructure segments.

Capex spree to persist even as aggregate capacity reaches 1 MTPA mark: The Kathua/Sanand Unit-2 (Phase-2)/Sikandrabad facilities have now successfully commenced commercial production, taking the company's total production capacity to 1.05 MTPA. Building on this feat, the company is now pushing towards adding an incremental 1 MTPA capacity, taking the aggregate capacity to 2 MTPA by Mid-FY29. The capex earmarked for this incremental 1 MTPA expansion is ~Rs 500-600 cr, of which ~50% has already been incurred. Further, with a view to support the expansion plans, the company has entered into long term raw material supply MoU's with its existing suppliers (SAIL, ArcelonMittal, Tata Steel, NMDC) beginning 3QFY26, thereby ensuring stable capacity ramp-up and utilizations.

Export focus: The newly commissioned phase-2 of the Sanand unit-2 facility is expected to enhance the company's export contribution, which currently stands at ~6% of total sales volumes. Over the last year, the company catered to 28 countries in the overseas markets and has started receiving repeat orders. India's trade deal agreements with the US and EU are labelled to be structurally positive for the industry, opening up floodgates for the domestic export-oriented producers. Hence, going forward, we expect the export volumes mix to increase to 10% over the next 2-3 years.

JJM demand revival expected in FY27: The management expects Jal Jeevan Mission-led demand to pick-up pace starting FY27, given that the government has maintained its stance on the budgetary allocation, despite subdued spending witnessed in FY26. A major chunk of this demand is expected to be for ERW pipes and tubes, especially for the Galvanized segment.

Maintain BUY- Target Rs 121/-

We estimate FY26E/FY27E/FY28E sales volumes of 0.5/0.6/0.7 MTPA respectively implying a CAGR of 15.1% over the FY25A-FY28E period. Revenue/EBITDA/PAT is forecasted to grow at a CAGR of 21.9%/25.5%/30.9% respectively, with EBITDA/t expected to reach Rs 3,356/Rs 4,006/Rs 4,276. At the CMP of Rs 85.4, the stock is currently trading at a P/E of 22.1x/13.9x/10.6x of its FY26E/FY27E/FY28E EPS of Rs 3.9/Rs 6.2/Rs 8.1 respectively. We roll forward our FY28 estimates and value the stock at Rs 121, implying an upside of 41.6% from CMP of Rs 85.4, based on FY28E P/E multiple of 15.0x.

Financial Summary (Rs cr)

Particulars	FY24A	FY25A	FY26E	FY27E	FY28E
Net Sales	2,699	3,068	3,749	4,552	5,551
Growth (%)	-	*13.6%*	*22.2%*	*21.4%*	*22.0%*
EBITDA	115	160	176	250	316
Growth (%)	-	*39.3%*	*10.1%*	*42.1%*	*26.4%*
Adj. Net Profit	44	73	78	125	164
Growth (%)	-	*66.1%*	*7.4%*	*59.8%*	*30.8%*
EPS (Rs)	2.2	3.6	3.9	6.2	8.1
Growth (%)	-	*66.1%*	*7.4%*	*59.8%*	*30.8%*
DPS (Rs)	0.0	0.0	0.0	0.0	0.0
Div. Yield (%)	0.0	0.0	0.0	0.0	0.0

Source: Company, SBICAP Securities Research

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3QFY26 Result

Figures in Rs. Cr.

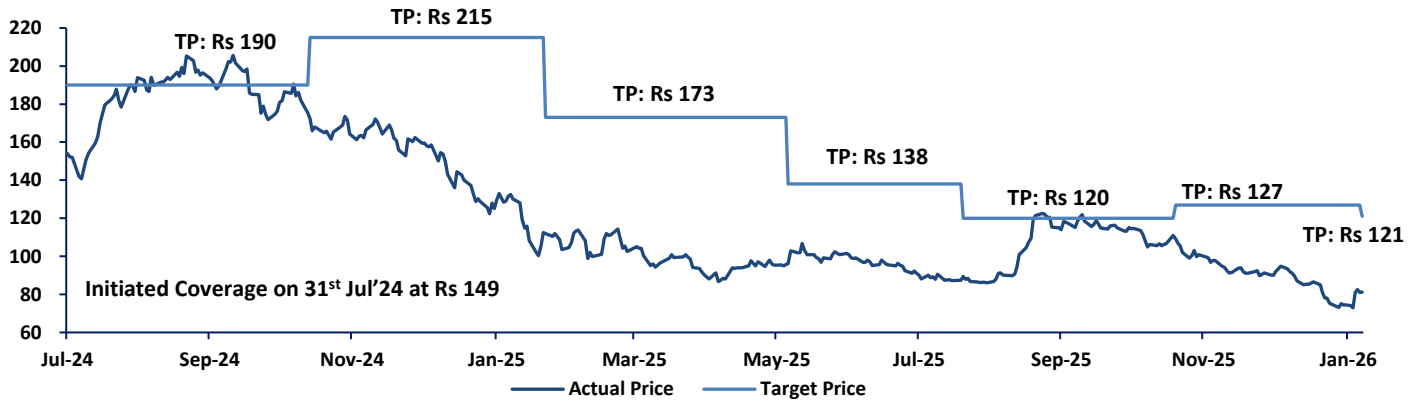
Quarter Ended	3QFY26	2QFY26	QoQ % Change	3QFY25	YoY % Change	Comments
Net Sales	**1,069.6**	**858.8**	**24.5**	**761.0**	**40.5**	**Revenue up 40.5% YoY lead by record quarterly sales volumes and better product mix. A steep decline in HRC prices impacted realizations.**
Other Income	0.3	1.1	(77.9)	0.4	(33.7)	
Total Income	1,069.8	859.9	24.4	761.4	40.5	
Total Operating Expenditure	**1,027.7**	**814.4**	**26.2**	**720.8**	**42.6**	
Material Cost	992.7	781.6	27.0	684.3	45.1	
As % of Sales	92.8	91.0	-	89.9	-	
Other Exp.	35.0	32.8	-	36.5	-	
As % of Sales	3.3	3.8	-	4.8	-	
EBITDA (Excl OI)	**41.9**	**44.3**	**(5.5)**	**40.2**	**4.1**	**EBITDA/t declined ~5% YoY impacted by one-time increase in stock purchases owing to signing of raw material MoUs.**
EBITDA (Incl OI)	42.1	45.5	(7.4)	40.6	3.7	
Interest & Finance Cost	12.3	11.8	4.1	8.8	39.7	
PBDT	29.9	33.7	(11.4)	31.8	(6.2)	
Depreciation	6.7	6.6	0.4	6.3	6.6	
PBT	23.2	27.1	(14.3)	25.6	(9.3)	
Tax	5.8	6.8	(14.5)	6.4	(9.6)	
Net Profit	**17.4**	**20.3**	**(14.2)**	**19.1**	**(9.2)**	**PAT declined 9.2% YoY due to higher finance costs (up 39.7% YoY).**
Operating Margins (%)	3.9	5.2		5.3		
Net Profit Margins (%)	1.6	2.4		2.5		
Tax Rate (%)	25.1	25.2		25.2		
Equity (Rs cr)	20.3	20.3		20.3		
FV (Rs)	1.0	1.0		1.0		
EPS (Rs)	0.9	1.0		0.9		
Cash EPS (Rs)	1.2	1.3		1.3		

Estimate Revision

Particulars (Rs. cr)	New Estimate			Old Estimate			% Change		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	3,749	4,552	5,551	3,553	4,495	-	5.5	1.3	-
EBITDA	176	250	316	190	261	-	(7.3)	(4.0)	-
EBITDA Margin (%)	4.7	5.5	5.7	5.4	5.8	-	(70 bps)	(30 bps)	-
PAT	78	125	164	88	136	-	(10.8)	(7.8)	-
EPS (Rs. Per share)	3.9	6.2	8.1	4.3	6.7	-	(10.3)	(8.0)	-

Source: SBICAP Securities Research

Target Price History (Rs)



Financial Statements

Income Statement

Figures in Cr.

Particulars	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue from Operations	**2,699**	**3,068**	**3,749**	**4,552**	**5,551**
% YoY growth	-	*13.6%*	*22.2%*	*21.4%*	*22.0%*
COGS (incl Stock Adj)	2,463	2,784	3,426	4,120	5,013
Gross Profit	**237**	**284**	**322**	**432**	**538**
Gross margins	***8.8%***	***9.3%***	***8.6%***	***9.5%***	***9.7%***
Employee Cost	31	33	37	46	56
Other Operating Expenses	90	91	109	137	167
EBITDA	**115**	**160**	**176**	**250**	**316**
% YoY growth	-	*39.3%*	*10.1%*	*42.1%*	*26.4%*
EBITDA margins	***4.3%***	***5.2%***	***4.7%***	***5.5%***	***5.7%***
Other Income	1	2	2	2	3
Depreciation	15	21	29	37	43
EBIT	101	141	149	216	276
Interest Expense	42	43	44	48	56
Exceptional Items	-	-	-	-	-
PBT	**59**	**98**	**105**	**168**	**220**
Tax	15	25	27	43	56
Effective Tax Rate	*25.1%*	*25.6%*	*25.5%*	*25.5%*	*25.5%*
PAT	**44**	**73**	**78**	**125**	**164**
% YoY growth	-	*66.1%*	*7.4%*	*59.8%*	*30.8%*
PAT margin (%)	***1.6%***	***2.4%***	***2.1%***	***2.7%***	***3.0%***
Minority Interest	-	-	-	-	-
Reported PAT After Minority Interest	***44***	***73***	***78***	***125***	***164***
% YoY growth	-	*66.1%*	*7.4%*	*59.8%*	*30.8%*
Adjusted PAT	***44***	***73***	***78***	***125***	***164***
% YoY growth	-	*66.1%*	*7.4%*	*59.8%*	*30.8%*
Adj PAT margin (%)	***1.6%***	***2.4%***	***2.1%***	***2.7%***	***3.0%***
EPS (Rs)	**2.2**	**3.6**	**3.9**	**6.2**	**8.1**
% YoY growth	-	*66.1%*	*7.4%*	*59.8%*	*30.8%*
Adj. EPS (Rs)	**2.2**	**3.6**	**3.9**	**6.2**	**8.1**
% YoY growth	-	*66.1%*	*7.4%*	*59.8%*	*30.8%*

Balance Sheet

Figures in Cr.

Particulars	FY24A	FY25A	FY26E	FY27E	FY28E
Assets					
Net Block	354	392	636	787	902
Capital WIP	62	194	120	83	25
Intangible Assets (incl. under development)	1	0	0	0	0
Other Noncurrent Assets	46	126	126	126	126
Current Assets					
Current Investment	-	-	-	-	-
Inventories	347	384	437	585	612
Trade receivables	280	303	375	423	475
Cash and Bank Balances	26	183	120	85	235
Short-term loans and advances	-	-	-	-	-
Other Current Assets	63	174	174	174	174
Total Current Assets	**716**	**1,044**	**1,107**	**1,267**	**1,496**
Current Liabilities & Provisions					
Trade payables	157	250	305	394	455
Other current liabilities	46	29	34	40	47
Short-term provisions	4	6	7	8	10
Total Current Liabilities	**206**	**284**	**346**	**442**	**512**
Net Current Assets	**509**	**760**	**761**	**825**	**984**
Total Assets	**972**	**1,471**	**1,644**	**1,821**	**2,037**
Liabilities					
Share Capital	15	20	20	20	20
Reserves and Surplus	561	1,237	1,315	1,440	1,603
Total Shareholders' Funds	**576**	**1,257**	**1,335**	**1,460**	**1,623**
Minority Interest	-	-	-	-	-
Total Debt	**366**	**179**	**273**	**325**	**377**
Long Term Provisions	1	2	2	3	3
Other Long-Term Liabilities	2	4	4	4	4
Net Deferred Tax Liability	26	30	30	30	30
Total Liabilities	**972**	**1,471**	**1,644**	**1,821**	**2,037**

Cash Flow

Figures in Cr.

Particulars	FY24A	FY25A	FY26E	FY27E	FY28E
PBT	59	98	105	168	220
Depreciation & Amortization	15	21	29	37	43
Other Adjustments	41	41	44	48	56
(Inc) / Dec in Working Capital	(199)	(72)	(64)	(99)	(8)
Taxes	(11)	(19)	(27)	(43)	(56)
Cash from Ops.	**(95)**	**70**	**88**	**111**	**255**
Capital Expenditure & investments	(154)	(390)	(200)	(150)	(100)
Cash from Investing	**(154)**	**(390)**	**(200)**	**(150)**	**(100)**
Issue of Share capital	115	609	-	-	-
Net Borrowings	156	(187)	94	52	52
Others	(21)	(68)	(44)	(48)	(56)
Issuance of Dividend	(0)	(0)	(1)	(1)	(1)
Cash from Financing	**249**	**354**	**50**	**4**	**(5)**
Extraordinary receipts/payment	-	-	-	-	-
Net Change in Cash	**0**	**33**	**(62)**	**(36)**	**150**
BF Cash	2	2	36	(27)	(62)
Forex & Others	-	-	-	-	-
Other Bank Balances	24	147	147	147	147
Cash and cash equivalents	**26**	**183**	**120**	**85**	**235**
Free Cash Flow	**(204)**	**(120)**	**(112)**	**(39)**	**155**

Key Ratios

Particulars	FY24A	FY25A	FY26E	FY27E	FY28E
Profitability Ratios (%)					
Gross Margin	8.8	9.3	8.6	9.5	9.7
EBITDA Margin	4.3	5.2	4.7	5.5	5.7
EBIT Margin	3.7	4.6	4.0	4.7	5.0
Net Profit Margin	1.6	2.4	2.1	2.7	3.0
Return Ratios (%)					
RoE	7.6	5.8	5.9	8.6	10.1
RoCE	10.7	9.8	9.3	12.1	13.8
Per share data (Rs)					
EPS	2.2	3.6	3.9	6.2	8.1
Diluted EPS	2.2	3.6	3.9	6.2	8.1
CEPS	2.9	4.6	5.3	8.0	10.2
DPS	0.0	0.0	0.0	0.0	0.0
BVPS	28.4	61.9	65.7	71.9	79.9
Leverage Ratios (x)					
Gross Debt/Equity	0.6	0.1	0.2	0.2	0.2
Net Debt/Equity	0.6	(0.0)	0.1	0.2	0.1
Interest Coverage Ratio	2.4	3.3	3.4	4.5	4.9
Liquidity Ratios					
Current Ratio (x)	1.5	2.4	1.9	1.7	1.7
Quick Ratio (x)	0.8	1.5	1.1	0.9	1.0
Avg. Days Sales Outstanding	31	35	33	32	30
Avg. Days Inventory Outstanding	48	48	44	45	44
Avg. Days Payables	22	24	27	28	28
Turnover Ratio (x)					
Fixed asset turnover	7.1	6.8	6.1	5.4	5.4
Valuation Ratios (x)					
P/E	39.5	23.8	22.1	13.9	10.6
P/CEPS	13.5	5.1	4.2	1.7	1.0
PEG	-	0.4	3.0	0.2	0.3
P/B	3.0	1.4	1.3	1.2	1.1
EV/EBIDTA	18.1	10.8	10.7	7.9	5.9
EV/ Net sales	0.8	0.6	0.5	0.4	0.3
Op Cash Flow/EBITDA	(0.8)	0.4	0.5	0.4	0.8
Dividend Payout (%)	0.9	0.7	0.6	0.4	0.3
Dividend Yield (%)	0.0	0.0	0.0	0.0	0.0
FCF Yield (%)	-	-	-	-	0.1

Source: SBICAP Securities Research Estimates

Our recent Rising Star recommendations and price performance

Sr.No.	Company Name	NSE Symbol	Initiated Date	Initiated Price	CMP*	Return (%) since initiated date	Latest rec. Date	Latest Target	High price since Initiation	Return (%) based on High price since initiation
1	APL Apollo Tubes Ltd.	APLAPOLLO	25-Apr-23	1,219.0	2,234.6	83.3	22-Jan-26	2,491.0	2,244.2	84.1
2	Star Cement Ltd.	STARCEMENT	05-May-23	123.2	221.6	79.8	11-Nov-25	295.0	309.0	150.8
3	JK Lakshmi Cement Ltd.	JKLAKSHMI	24-May-23	705.0	730.3	3.6	09-Feb-26	920.0	1,021.2	44.9
4	Dhanuka Agritech Ltd.	DHANUKA	29-May-23	711.0	1,136.1	59.8	07-Nov-25	1,725.0	1,975.0	177.8
5	SJS Enterprises Ltd.	SJS	05-Oct-23	680.0	1,818.8	167.5	29-Jan-26	2,065.0	1,888.9	177.8
6	KPI Green Energy Ltd.	KPIGREEN	17-Nov-23	259.6	418.9	61.4	06-Feb-26	560.0	745.3	187.1
7	Syrma SGS Technology Ltd.	SYRMA	06-Dec-23	590.0	872.2	47.8	14-Nov-25	1,120.0	909.9	54.2
8	Senco Gold Ltd.	SENCO	11-Dec-23	360.8	355.3	-1.5	19-Nov-25	395.0	772.0	114.0
9	Hi-Tech Pipes Ltd.	HITECH	31-Jul-24	149.0	85.1	-42.9	09-Feb-26	121.0	210.9	41.5
10	Lumax Auto Technologies Ltd.	LUMAXTECH	27-Dec-24	625.8	1,548.4	147.4	17-Nov-25	1,720.0	1,703.1	172.1
11	Goodluck India Ltd.	GOODLUCK	19-Mar-25	660.0	1,147.8	73.9	28-Jul-25	1,338.0	1,352.8	105.0
12	Man Industries (India) Ltd.	MANINDS	05-Aug-25	448.0	383.4	-14.4	24-Nov-25	660.0	491.0	9.6
13	Pricol Ltd.	PRICOLLTD	19-Nov-25	631.0	593.4	-6.0	19-Nov-25	816.0	695.0	10.1

*Closing Price as on 09th February, 2026

Moved to Soft Coverage

Sr.No.	Company Name	Initiated Date	Initiated Price	Close price	Return (%) since initiated date	High Price Since Initiation	Return (%) based on High price since initiation	Comments
1	Satin Creditcare Network Ltd.	10-Jan-24	259.0	198.0	(23.6)	284.0	9.7	**Exited on 27th Sep'24 due to Microfinance industry under stress.**
2	Zen Technologies Ltd.	12-Jul-23	520.0	1,473.0	183.3	2,627.0	405.2	**Booked profit on 24th Mar'25. The stock had run ahead of fundamental. Continue to monitor the order inflow in near term.**
3	Aditya Birla Capital Ltd.	22-Aug-24	222.2	329.0	48.1	345.0	55.3	**Post recent rally, stock appears fairly valued.**
4	Stylam Industries Ltd	27-Apr-24	1,150	2,236	94.4	2,735	137.8	**Booked profit as target achieved and moved into soft coverage. The flow information from management reduced. Aica Kogyo is now acquiring controlling stake in Stylam (53.1%) for $225 million.**

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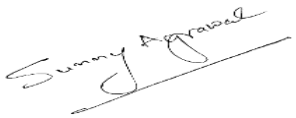

Sunny Agrawal
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